



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Phillip and Jane Lawrence

Of

3 Gwendoline Avenue

BENTLEIGH VIC 3204

Prepared on:

23rd March 2022

By your Adviser:

Andrew Lord B Bus (Acc), Dip FS (Fin Plan)

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

23/03/2022

Phillip and Jane Lawrence
3 Gwendoline Avenue
BENTLEIGH VIC 3204

Dear Phillip and Jane,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Structure and ownership of current and future investments
- Superannuation contribution strategies
- Superannuation structure
- Overall retirement planning

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Phillip and Jane, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Explore ways in how to best utilise your surplus funds in an effort to achieve your required income in retirement.
- Review your superannuation portfolio to determine appropriate strategies and structure moving forward.
- Place your current and future assets under the most tax effective ownership structure.
- Consider appropriate superannuation contribution strategies.
- Ensure you have sufficient cash flow in retirement.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Mrs
First Name	Phillip	Jane
Surname	Lawrence	Lawrence
Gender	M	F
Date of Birth	01/06/1952	23/08/1954
Age Last Birthday	69	67
Marital Status	Married	Married

Employment Details

Employment Status	Retired	Retired
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Estate Planning

	Phillip	Jane
Do you have a Current Will?	Yes	Yes
Do you have Current Powers of Attorney?	Yes	Yes
Do you have a Testamentary Trust?	No	No

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Bentleigh Residential Property	\$1,700,000
Home Contents	\$250,000
Vehicles	\$100,000
Total Lifestyle Assets	\$2,050,000

Investment Assets	Value
Cash At Bank	\$465,000
Total Investment Assets	\$465,000

Superannuation Assets	
Phillip	
AMP – Signature Super	\$27,280
Jane	
HESTA Super	\$479,557
Total Superannuation Assets	\$506,837

Total ASSETS	\$3,021,837
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NET WORTH	\$3,021,837
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Notes: As the above information has been used in preparing our recommendations, please advise us of any errors or omissions. The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your responses to the Risk Profile Questionnaire, it was determined that **Phillip** has a **Growth** investor risk profile, and **Jane** also has a **Growth** investor risk profile in regard to investments inside superannuation.

Typically, a **Growth** investor has the following characteristics:

- A Growth investor typically places a greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- A Growth portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.
- A 'Growth' investor will typically diversify their investment in the following manner:

Australian Shares	43%
International Shares	25%
Fixed Interest	13%
Property	17%
Cash	2%

Having said this, you have both entered retirement and, at the ages of 67 and 69, one of your primary goals is to draw down sufficient income from your retirement nest egg whilst preserving your capital. We therefore feel it is appropriate to invest the capital in a more conservative portfolio.

Therefore, we recommend a more **Balanced** portfolio.

- A Balanced investor places greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- Their portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A Balanced investor will typically diversify their investment in the following manner:

Australian Shares	34%
International Shares	20%
Fixed Interest	26%
Property	14%
Cash	6%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property). By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2021-22

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$45,000	19c for each \$1 over \$18,200
\$45,001 – \$120,000	\$5,092 plus 32.5c for each \$1 over \$45,000
\$120,001 – \$180,000	\$29,467 plus 37c for each \$1 over \$120,000
\$180,001 and over	\$51,667 plus 45c for each \$1 over \$180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase	-	Tax rate = 15%
Superannuation in 'pre-retirement pension' phase	-	Tax rate = 15%
Superannuation in 'allocated pension' phase	-	Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free*
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free*

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age 75 and over
From 1 July 2012	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2013	\$25,000	\$25,000	\$35,000	\$35,000	SGC only
From 1 July 2014	\$30,000	\$35,000	\$35,000	\$35,000	SGC only
From 1 July 2017	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2021	\$27,500	\$27,500	\$27,500	\$27,500	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 67	Age 67 to 74	Age 75 and over
From 1 July 2007	\$150,000 p.a.	May bring forward two years of contributions to make a \$450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	\$180,000 p.a.	May bring forward two years of contributions to make a \$540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	\$100,000 p.a.	May bring forward two years of contributions to make a \$300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2022	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year		Cannot contribute

Investments Currently Outside of Superannuation

- Phillip and Jane, you currently have total cash at bank of approximately \$465,000.
- You seek advice with respect to the best use of these funds.
- Jane, we note that you made a non-concessional contribution to your Hesta superannuation fund of \$320,000 in the current financial year.

Recommendation:

- In light of the fact that superannuation is a tax effective environment to hold investment assets, we recommend to make superannuation contributions based on the following timeline (these contributions remain within the contribution caps detailed in the 'Superannuation Contribution Limits' section):

Who	Timing	Type of contribution	Amount
Jane	Pre 30/06/22	Non-concessional	\$10,000
Phillip	Post 1/07/22	Non-concessional	\$330,000
Total			\$340,000

Benefits:

- Any assets held within the fund are effectively being held in the most tax effective environment.
- The returns on balances held within superannuation and invested should be higher than the current returns on cash held in bank deposits.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Work Test

Currently, the work test must be satisfied in order for the trustee of a super fund to accept member contributions or voluntary employer contributions if the member is age 67 or over at the time of the contribution, but is under the maximum age for that type of contribution.

A member satisfies the work test if they have been gainfully employed for at least 40 hours in a period of not more than 30 consecutive days in the financial year.

However, from 1 July 2022, a super fund can accept any contributions made for a member while they are under the age of 75 (including the period up to 28 days after the end of the month in which they turn 75), **regardless of their work status**.

Superannuation – Pension Phase and Retirement Income Streams

Phillip and Jane, current legislation allows you (as you have reached preservation age) to commence an income stream with your superannuation monies. From age 60, all income received from this income stream is tax free.

Once you have commenced an income stream all income earned from the amount funding the income stream is also tax free, as opposed to being taxed at 15% when in accumulation phase. Income that is taxed within the super fund includes distributions and any capital gains realised via the selling of units.

Recommendations:

- Based on your current level of assets, you will no longer be eligible to receive 'Age Pension' payments.
- You will therefore need to draw an income stream from your superannuation monies to satisfy living expenses.
- It is therefore recommended that each of you convert your superannuation to pension phase.

Reasons:

- By implementing this structure, your superannuation fund will no longer incur 15% tax on earnings within the fund.
- You will receive a regular 'tax free' income stream to satisfy your cash flow needs.

For Consideration:

- The minimum income stream that must be drawn from the Allocated Pension is:

Age	Under 65	65-74	75-79	80-84	85-89	90-94	95 or over
Reduced percentage factor (2019-20 and 2020-21 financial years)	2%	2.5%	3%	3.5%	4.5%	5.5%	7%
Standard percentage factors (other years)	4%	5%	6%	7%	9%	11%	14%

Superannuation Funds

Phillip and Jane, you currently have the following approximate superannuation balances:

Phillip

➤ AMP – Signature Super \$27,280

Jane

➤ HESTA Super \$479,557

TOTAL \$506,837

Recommendations:

- Roll across these superannuation monies to a more actively managed Colonial First State Wholesale Allocated Pension invested in a 'Balanced' portfolio aligned with our recommendations.

Investments Within Superannuation

AMP – Signature Super (Phillip)

Phillip, you have a superannuation fund with AMP Signature Super and is invested in the 'Moderately Conservative Option'.

The overall asset allocation of this portfolio is:

Asset Class	% of Portfolio
Australian Shares	16.80%
International Shares	20.50%
Property	11.80%
Fixed Interest & Cash	41.50%
Alternatives	9.30%
	100%

Current AMP Signature Super Portfolio Profile Compared to a 'Balanced' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Balanced Portfolio	Deviation
Australian Shares	16.80%	34%	-17.2%
International Shares	20.50%	20%	+0.5%
Property	11.80%	14%	-2.2%
Fixed Interest & Cash	41.50%	32%	+9.5%
Alternatives	9.30%	0%	+9.3%

HESTA Super (Jane)

Jane, you have a superannuation fund with HESTA Super invested in the Cash & Term Deposit option and the Australian Shares

The overall asset allocation of this portfolio is:

Asset Class	% of Portfolio
Australian Shares	78.22%
Fixed Interest & Cash	21.78%
	100%

Current HESTA Super Portfolio Profile Compared to a 'Balanced' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Balanced Portfolio	Deviation
Australian Shares	78.22%	34%	+44.22%
International Shares	0%	20%	-20%
Property	0%	14%	-14%
Fixed Interest & Cash	21.78%	32%	-10.22%

Recommendations:

- Phillip, rollover your existing AMP Signature Super account into the recommended **Wholesale Allocated Pension** Colonial platform, invested in a 'Balanced' profile.
- Phillip, as part of the set-up of this Allocated Pension, we recommend you make a non-concessional contribution of \$330,000. This is to be done on or after the 1st of July 2022.
- Phillip, draw down an income stream of **\$28,000** per annum (\$2,333 per month).
- The pension income is to be used to replace the Age Pension that you will no longer be receiving.
- Jane, rollover your existing HESTA Super account into the recommended **Wholesale Allocated Pension** Colonial platform, invested in a 'Balanced' profile.
- Jane, as part of the set-up of this Allocated Pension, we recommend you make a non-concessional contribution of \$10,000. This account can be set up at any time.
- Jane, draw down an income stream of **\$28,789** per annum (\$2,399 per month).
- The pension income is to be used to replace the following:
 - Age Pension: \$37,289 p.a.
 - AMP Pension: \$19,500 p.a.

Benefits:

- **Your capital is invested inside the superannuation environment consistent with our recommendations and structured in a more actively managed portfolio**
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialize in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The recommended wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The recommended wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- **You will continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.**

Risks:

- The recommended investment's performance is subject to market fluctuations.
- Investment performance is not guaranteed.

Current and Proposed Portfolio Historical Performance

AMP Signature Super at 31/12/2021

Phillip	1 year p.a.	3 years p.a.	5 years p.a.
AMP – Signature Super	9.70%	8.37%	6.17%

- Jane, Hesta only publish performance figures on 30th of June each year and cannot be compared to the Colonial First State figures published on the 31st of December 2021.

Performance of the Colonial First State Balanced Portfolio at 31/12/2021

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Pendal Wholesale Australian Share	11%	17.70%	15.17%	11.31%
First Sentier Wholesale Australian Small Companies	11%	20.78%	24.43%	16.61%
Colonial First State Wholesale Index Australian Share	12%	18.49%	14.74%	10.82%
CFS W'sale Index Global Share	20%	28.93%	20.02%	14.61%
Pendal Wholesale Property Investment	7%	25.95%	15.30%	10.72%
Colonial First State Wholesale Index Property Securities	7%	25.76%	12.50%	8.98%
Colonial First State Wholesale Index Australian Bond	26%	-3.07%	2.58%	3.02%
First Sentier Wholesale Strategic Cash	6%	0.05%	0.68%	1.18%
	100.00%	15.06%	12.79%	9.53%

- Phillip, the Colonial First State **'Balanced'** Portfolio has **outperformed** your current AMP fund over the past 5 years by an average of 3.36% per annum. Based on your future balance of \$357,280, **this equates to \$12,004 p.a. (or \$60,020 over a 5-year period).**

Proposed Portfolio

SUPERANNUATION ASSETS

Superannuation Assets – Phillip	Value
AMP -Signature Super	\$0
Colonial First State Wholesale Allocated Pension	\$357,280
Pendal Wholesale Australian Share	\$39,301
First Sentier Wholesale Australian Small Companies	\$39,301
Colonial First State Wholesale Index Australian Share	\$42,874
CFS W'sale Index Global Share	\$71,456
Pendal Wholesale Property Investment	\$25,010
Colonial First State Wholesale Index Property Securities	\$25,010
Colonial First State Wholesale Index Australian Bond	\$92,893
First Sentier Wholesale Strategic Cash	\$21,437
Total Superannuation Assets	\$357,280

Superannuation Assets – Jane	Value
HESTA Super	\$0
Colonial First State Wholesale Allocated Pension	\$489,557
Pendal Wholesale Australian Share	\$53,851
First Sentier Wholesale Australian Small Companies	\$53,851
Colonial First State Wholesale Index Australian Share	\$58,747
CFS W'sale Index Global Share	\$97,911
Pendal Wholesale Property Investment	\$34,269
Colonial First State Wholesale Index Property Securities	\$34,269
Colonial First State Wholesale Index Australian Bond	\$127,285
First Sentier Wholesale Strategic Cash	\$29,373
Total Superannuation Assets	\$489,557

NET ASSETS	\$846,837
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Benefits:

- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Replacement of an Existing Product

Phillip

Type of Fee or Cost	AMP – Signature Super	Colonial Wholesale Super Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	<u>Admin. Fee</u> \$78 p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	\$1,440 p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.54% p.a.	0.56% p.a.

Jane

Type of Fee or Cost	HESTA Super	Colonial Wholesale Super Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	<u>Admin. Fee</u> 0.10% p.a. + \$65 p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	\$1,440 p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.25% p.a.	0.56% p.a.

Investment Recommendation

Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of \$5,000 (\$1,500 for super) is required to establish an account in FirstChoice Investments. A \$1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is \$100 per month.

Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

Sector Specific Diversification

A strong range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

Simplicity

Consolidated reporting from Colonial First State.

Ease of Management

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

Highly competitive and simple to understand fee structure

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one-off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
 - **A \$1440 p.a. Adviser Service fee will apply.**
- No switching fees or exit fees apply to this investment.

Colonial FirstChoice Management Fee

Colonial FirstChoice charges a Management Expense Ratio to cover their administration costs and the associated costs of managing your funds. Based on your proposed portfolio value, we have provided an estimation of the costs you will pay.

Colonial FirstState FirstChoice Personal Super - Phillip	MER %	Amount invested ① \$	Estimated fee \$
Pendal Wholesale Australian Share	1.04%	\$39,301	\$409
First Sentier Wholesale Australian Small Companies	1.14%	\$39,301	\$448
Colonial First State Wholesale Index Australian Share	0.34%	\$42,874	\$146
CFS W'sale Index Global Share	0.34%	\$71,456	\$243
Pendal Wholesale Property Investment	1.09%	\$25,010	\$273
Colonial First State Wholesale Index Property Securities	0.34%	\$25,010	\$85
Colonial First State Wholesale Index Australian Bond	0.34%	\$92,893	\$316
First Sentier Wholesale Strategic Cash	0.44%	\$21,437	\$94
Total ongoing fees①	0.51%	\$357,280	\$2,013

Colonial FirstState FirstChoice Personal Super - Jane	MER %	Amount invested ① \$	Estimated fee \$
Pendal Wholesale Australian Share	1.04%	\$53,851	\$560
First Sentier Wholesale Australian Small Companies	1.14%	\$53,851	\$614
Colonial First State Wholesale Index Australian Share	0.34%	\$58,747	\$200
CFS W'sale Index Global Share	0.34%	\$97,911	\$333
Pendal Wholesale Property Investment	1.09%	\$34,269	\$374
Colonial First State Wholesale Index Property Securities	0.34%	\$34,269	\$117
Colonial First State Wholesale Index Australian Bond	0.34%	\$127,285	\$433
First Sentier Wholesale Strategic Cash	0.44%	\$29,373	\$129
Total ongoing fees①	0.51%	\$489,557	\$2,759

① Colonial FirstChoice's Management Fee is calculated on the value of your total portfolio. As such we have used your proposed portfolio to estimate your annual ongoing fee.

Please note that there is an additional adviser service fee of \$1,440 that is paid by you.

Reversionary Pensions

Recommendations:

When you both commence your 'Colonial Wholesale Allocated Pension' accounts you should make them **reversionary**.

Benefits:

- A reversionary pension enables your tax dependant beneficiary to receive your pension account balance remaining within the superannuation environment. All moneys received by the reversionary beneficiary remain in pension phase and therefore all income earned by the fund or capital gains realised by the fund to pay the benefit pension will not be subject to tax.
- If either the deceased or the recipient of the reversionary pension is over the age of 60, the income stream will not be assessable for income tax purposes.

Risks:

- Death benefits in the form of a pension may only be paid to a "Tax Dependant". As your children are not classified as a tax dependants, in the event that you were both to die, they would only be able to receive a lump sum, thus would not receive the benefits of being in pension phase or within superannuation.
- If the income stream is commuted (either rolled into an accumulation fund or lump sums are withdrawn) within six months after the death of the deceased or 3 months after the grant of probate of that deceased person's will or letters of administration of that deceased person's estate, then it is treated as a death benefit payment. Therefore, the moneys would be treated as a lump sum benefit outside of the superannuation environment.

Retirement Capital Projections

Phillip and Jane, we have taken the liberty of providing superannuation retirement projections based on the following assumptions:

- Capital value of superannuation increases by 6.0% p.a.
- Capital value of superannuation increases by 4.0% p.a.
- Drawing down \$70,000 p.a. from super.
- Drawing down \$56,789 p.a. (your current cash flow requirements) from super.
- Implementation of the superannuation contribution strategy documented on Page 16 of this Statement of Advice.

Retirement Projections

Under each of these scenarios we have calculated your projected superannuation capital position in 20 years' time (age 89 and 87 respectively).

A summary of these projections (after 20 years) is detailed in the following table:

8% return p.a.	
Income p.a:	Remaining Capital in Super in 2042:
\$56,789	\$1,348,295
\$70,000	\$743,733

6% return p.a.	
Income p.a:	Remaining Capital in Super in 2042:
\$56,789	\$626,904
\$70,000	\$140,930

4% return p.a.	
Income p.a:	Remaining Capital in Super in 2042:
\$56,789	\$164,457
\$70,000	Capital reduces to \$0 after year 17 (2039)

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice.

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of \$2,500+GST, which will be invoiced to you.

Upfront and Ongoing Fee Disclosure

An Adviser Service Fee of \$1,440 p.a. will apply to any Colonial FirstChoice investments implemented.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements (if applicable)
- Contact us if you have any questions
- Tell us immediately if any information is incorrect

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended; however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Authority to Proceed

We, Phillip & Jane Lawrence, of
3 Gwendoline Ave,
BENTLEIGH VIC 3204

State that:

I have read and understood the Financial Plan presented to me by **Andrew Lord** B Bus (Acc.), Dip FS (Fin Plan) from Pareto Group Pty Ltd, and authorise him to proceed with the recommendations as outlined below:

Investment	Amount
Phillip - Colonial FirstChoice Wholesale Pension	\$357,280
Jane - Colonial FirstChoice Wholesale Pension	\$489,557

All fees and charges have been explained to me.

I authorise **Andrew Lord** B Bus (Acc.), Dip FS (Fin Plan) to act in his capacity as our Financial Adviser regarding this investment and to act on our instructions provided by (tick whichever is applicable):

- ☐ Facsimile
- ☐ Email
- ☐ Writing

I acknowledge that:

- I have received and read a Financial Services Guide.
 - I have provided all information to the best of my knowledge for the preparation of this Statement of Advice.
 - My adviser is not a taxation adviser, and estimates of tax positions are estimates only. We should seek advice from a registered tax agent for taxation advice.
- ☐ I accept the recommendations made in this Report and give authority to Pareto Group Pty Ltd ABN 11 155 278 078 to proceed with the implementation of those recommendations.

Modifications to recommendations requested by client

Signed: _____ / /
Phillip Lawrence Date

Signed: _____ / /
Jane Lawrence Date

Signed: _____ / /
Andrew Lord Date
B Bus (Acc.), Dip FS (Fin Plan)

Appendix A – Retirement Capital Projections
